TOPIC ⑤ · SAMPLE SHORT ANSWER #2

Subscription Programs & Perks: Unintended Consequences

📄 SAMPLE **THE QUESTION & THE GRADING NOTES**

“Many companies offer free shipping, gifts and exclusive deals as part of their subscription program. What are two potential unintended consequences of including such features?”

Grading notes: Perks can increase signups, but they also risk **eroding margins** and **training customers to expect discounts**. Some customers may **only make purchases when offers are available**, **reducing the program's incremental value** and possibly **cannibalizing full-price sales**.

Learn it

PLAIN ENGLISH

A **subscription or membership program** (Amazon Prime, Costco membership) charges a fee and gives perks. Companies love them because members **stay longer and buy more**. But every perk costs money, and perks change how customers behave. Sometimes the program just gives discounts to people who would have bought anyway.

Why companies want subscriptions: the CLV logic 📊 SLIDES

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CLV = m × r ÷ (1 + i − r) − AC
m = yearly profit per customer   r = % who stay each year   i = discount rate (10%)   AC = cost to acquire
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Higher retention (r) makes each customer worth much more: at r = 80% the multiplier is **2.67×**; at Costco's ~**92%** renewal rate it's **5.1×**. That's why memberships are so valuable.

The catch, in numbers (worked example)

Scenario	Margin m	Retention r	CLV = m·r/(1.1−r)

No perks	$100	80%	**$266.67**
Perks cost $25/yr, retention rises to 85%	$75	85%	**$255.00** ↓ worse!
Perks cost $25/yr, retention rises to 88%	$75	88%	**$300.00** ↑ better

LESSON

Perks pay off **only if they raise retention enough** to beat the margin they cost. Here, retention must rise from 80% to about **86%** just to break even. Higher sign-ups alone don't prove the program works.

The unintended consequences (name at least two, explained)

① Margin erosion

Free shipping, gifts, and deals cost money **on every order**. Heavy users cost the most (lots of free shipping). m goes down.

② Trained to expect discounts

Customers' **reference price** drops: full price starts to feel unfair, and they wait for deals.

③ Deal-seekers, low incrementality

Some join **only for the perks** and buy only when offers exist. Much of the “extra” sales would have happened anyway.

④ Cannibalizing full-price sales

Loyal customers who'd pay full price now get the discount: money given away for nothing.

What Prof. Kahn said about loyalty and price 🎤 CLASS

A student suggested discounting loyal high-volume customers. Kahn: **“Oh, you do that? Not me. I raise price.”** Loyal customers are **less price-sensitive**. American Airlines in Philly: loyal flyers keep paying “crazy” prices for small benefits (“three peanuts”). “It's really surprising **how much price desensitivity** happens if you think you're getting a benefit in a certain kind of loyalty program.”
Subscriptions are a **three-part tariff** (second-degree price discrimination): an intro price to get in, then different prices depending on how much you buy. Freemium is **penetration** pricing.

BETTER DESIGNS (TO END YOUR ANSWER STRONGLY)

Tie perks to **tiers** or spending thresholds · use **non-price perks** (access, experiences, service) instead of discounts · **measure incrementality** (compare members vs a control group) · keep full-price integrity, especially for premium or luxury brands.

Practice: multiple choice (8), with answers

MC 1 [SAMPLE EXAM]

A company adds free shipping, gifts, and exclusive deals to its subscription program. Which is a likely UNINTENDED consequence?

- **✔ CORRECT: Margins erode and customers are trained to expect discounts, buying only when offers exist**
- Retention automatically falls
- The brand becomes a house of brands
- Acquisition cost drops to zero

EXPLANATION

Perks bring sign-ups but cost money on every order and teach people to wait for deals.

MC 2 [SAMPLE EXAM]

Why might a perk-heavy subscription program have LOW 'incremental value'?

- **✔ CORRECT: Many purchases would have happened anyway, and some members buy only when deals are offered**
- It has too few members
- Perks always increase full-price sales
- Subscriptions can't be measured

> **EXPLANATION**
> 'Incremental' = sales that happen ONLY because of the program. Discounting people who'd buy anyway adds cost, not sales.

MC 3 [SAMPLE EXAM]

Giving loyal customers an exclusive discount on items they'd normally buy at full price is an example of:

- **✔ CORRECT: Cannibalizing full-price sales**
- Penetration pricing
- Skimming
- A house of brands

> **EXPLANATION**
> You're giving away money you would have earned.

MC 4 [SAID IN CLASS]

According to Kahn, how should you price for very loyal customers?

- ✔ **CORRECT: They're less price-sensitive, so you can charge more, not discount them**
- Give them the deepest discounts
- Price them at cost
- Loyalty doesn't affect price sensitivity

EXPLANATION

'Oh, you do that? Not me. I raise price.' Airline loyalty programs show how much loyalty reduces price sensitivity.

MC 5 [SLIDES]

Using CLV = m × r ÷ (1.1 − r): margin $100 at 80% retention gives $266.67. Perks cut margin to $75 and raise retention to 85%. New CLV?

- ✔ **CORRECT: $255, lower than before**
- $300, higher
- $266.67, unchanged
- $425

EXPLANATION

75 × 0.85 ÷ (1.1 − 0.85) = 63.75 ÷ 0.25 = $255. Retention went up, but not enough to make up for the lost margin.

MC 6 [SLIDES]

Why are memberships with high retention so valuable? Going from 80% to Costco's ~92% renewal changes the CLV multiplier r/(1.1−r) from about:

- ✔ **CORRECT: 2.67 to 5.1**
- 2 to 3
- 5 to 10
- 1 to 1.2

> **EXPLANATION**
> 0.8/0.3 = 2.67 and 0.92/0.18 = 5.1. Small gains in loyalty nearly double each customer's value, which is why firms invest in programs.

MC 7 [SAID IN CLASS]

A subscription with an intro price and then different prices depending on how much you use is called:

- ✔ **CORRECT: A three-part tariff (second-degree price discrimination)**
- A two-part tariff
- First-degree discrimination
- Skimming

> **EXPLANATION**
> Two-part = cheap entry plus pay per use (razor/blades). Three-part = subscriptions with intro and usage tiers.

MC 8 [SLIDES]

Which design best limits the downsides of perks?

- **✔ CORRECT: Tiered or threshold-based perks, non-price benefits, and measuring incremental sales against a control group**
- Give every member the deepest discount
- Remove all membership fees
- Offer random perks with no tracking

EXPLANATION

Tie perks to behavior, prefer non-discount value (access, service), and check whether the program truly adds sales.

Practice: short answers (3), with model answers

SHORT ANSWER 1 (9 points)

Many companies offer free shipping, gifts, and exclusive deals as part of their subscription program. What are two potential unintended consequences of including such features?

What a full-credit answer covers

- Margin erosion: perks cost money per order (m falls)
- Training customers to expect discounts (reference price falls)
- Deal-seekers buy only when offers exist, so the program's incremental value is low
- Cannibalizing full-price sales
- Ties to CLV/loyalty logic and suggests a mitigation

MODEL ANSWER

First, margin erosion and discount training: free shipping, gifts, and exclusive deals cost money on every order, and customers start treating the discounted price as normal, so it's hard to sell at full price again. Second, low incrementality and cannibalization: the program attracts deal-seekers who buy only when offers are available, while loyal customers who would have paid full price now get discounts. Much of the 'lift' isn't new profit. In CLV terms, retention may rise but margin falls, so CLV can actually drop. Kahn's view is that loyal customers are less price-sensitive, so discounting them wastes margin. Better: tiered or non-price perks and measuring incremental sales.

SHORT ANSWER 2 (9 points)

Design a better membership program for a retailer, using CLV and Kahn's pricing logic.

What a full-credit answer covers

- Goal: raise retention r without destroying margin m (CLV formula)
- Uses tiers/thresholds (three-part tariff) so heavier users self-select
- Prefers non-price perks (access, service, experiences) over discounts
- Doesn't discount loyal, price-insensitive customers; targets discounts with fences at price-sensitive segments
- Measures incrementality / break-even retention

MODEL ANSWER

The goal is to raise retention without giving away margin, since CLV = m × r ÷ (1 + i – r). I'd use a tiered membership (a three-part tariff): a basic tier with modest benefits and a premium tier for heavy users, so customers sort themselves by value. Perks would favor non-price value such as early access, members-only service, and experiences, rather than across-the-board discounts, because loyal members are less price-sensitive and discounts mostly hand them money. Any discounts would be fenced and aimed at price-sensitive segments that wouldn't buy otherwise. Finally, I'd measure incrementality against a control group and check that retention rises enough to beat the margin cost (in the worked example, from 80% to about 86%).

SHORT ANSWER 3 (9 points)

Why is Costco's membership model so valuable, and what could go wrong if it added many discount perks?

What a full-credit answer covers

- High renewal (~92%) → CLV multiplier ~5.1× vs 2.67× at 80%
- Fee income and lock-in; members come back often (treasure hunt, Low Price + Experiential)
- Adding discount perks lowers m, trains deal expectations, cannibalizes
- Loyal members already price-insensitive about the fee; perks not needed for retention
- Conclusion

MODEL ANSWER

Costco's renewal rate is about 92%. With the CLV multiplier r/(1+i−r), that's about 5.1 years' worth of margin per member, compared with 2.67 at 80% retention, and membership fees bring steady income. Low prices plus the treasure-hunt experience keep members coming back. Piling on discount perks would lower margin on every trip, teach members to expect deals, and mostly reward people who would renew anyway, cannibalizing profit without raising retention much from an already very high level. Better to protect the value proposition and use non-price benefits.